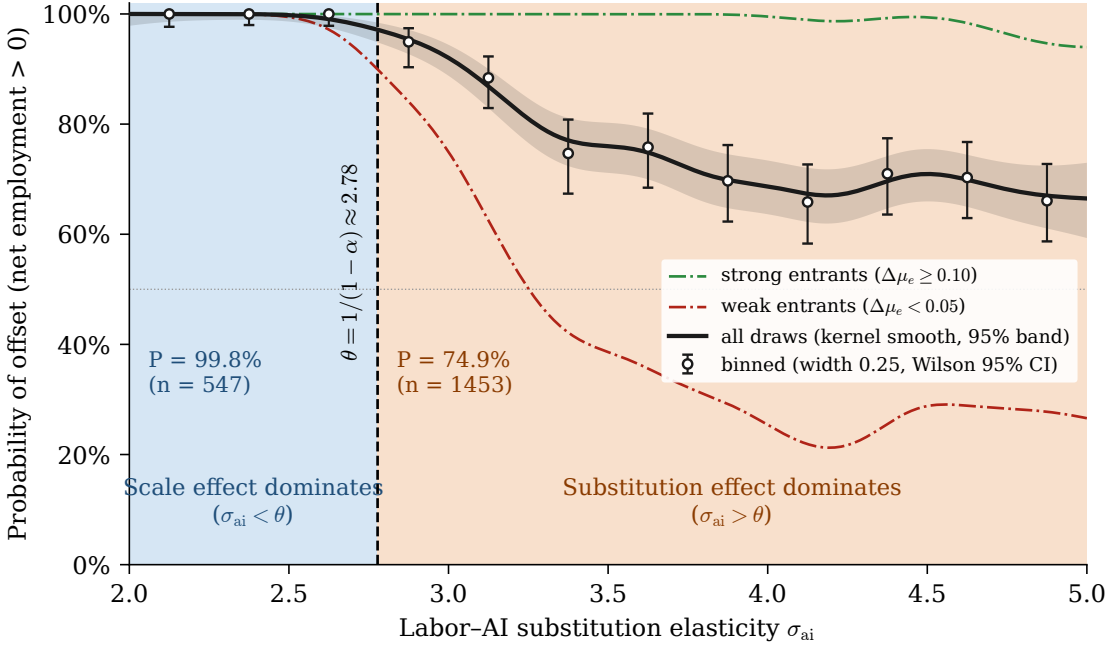
100%
80%
60%
40%
20%
0%
Probability of offset (net employment > 0)
2.0
2.5
3.0
3.5
4.0
4.5
5.0
Labor–AI substitution elasticity σ_{ai}
$\theta = 1/(1-\alpha) \approx 2.78$
P = 99.8%
(n = 547)
P = 74.9%
(n = 1453)
Scale effect dominates
($\sigma_{ai} < \theta$)
Substitution effect dominates
($\sigma_{ai} > \theta$)
strong entrants ($\Delta\mu_e \geq 0.10$)
weak entrants ($\Delta\mu_e < 0.05$)
all draws (kernel smooth, 95% band)
binned (width 0.25, Wilson 95% CI)